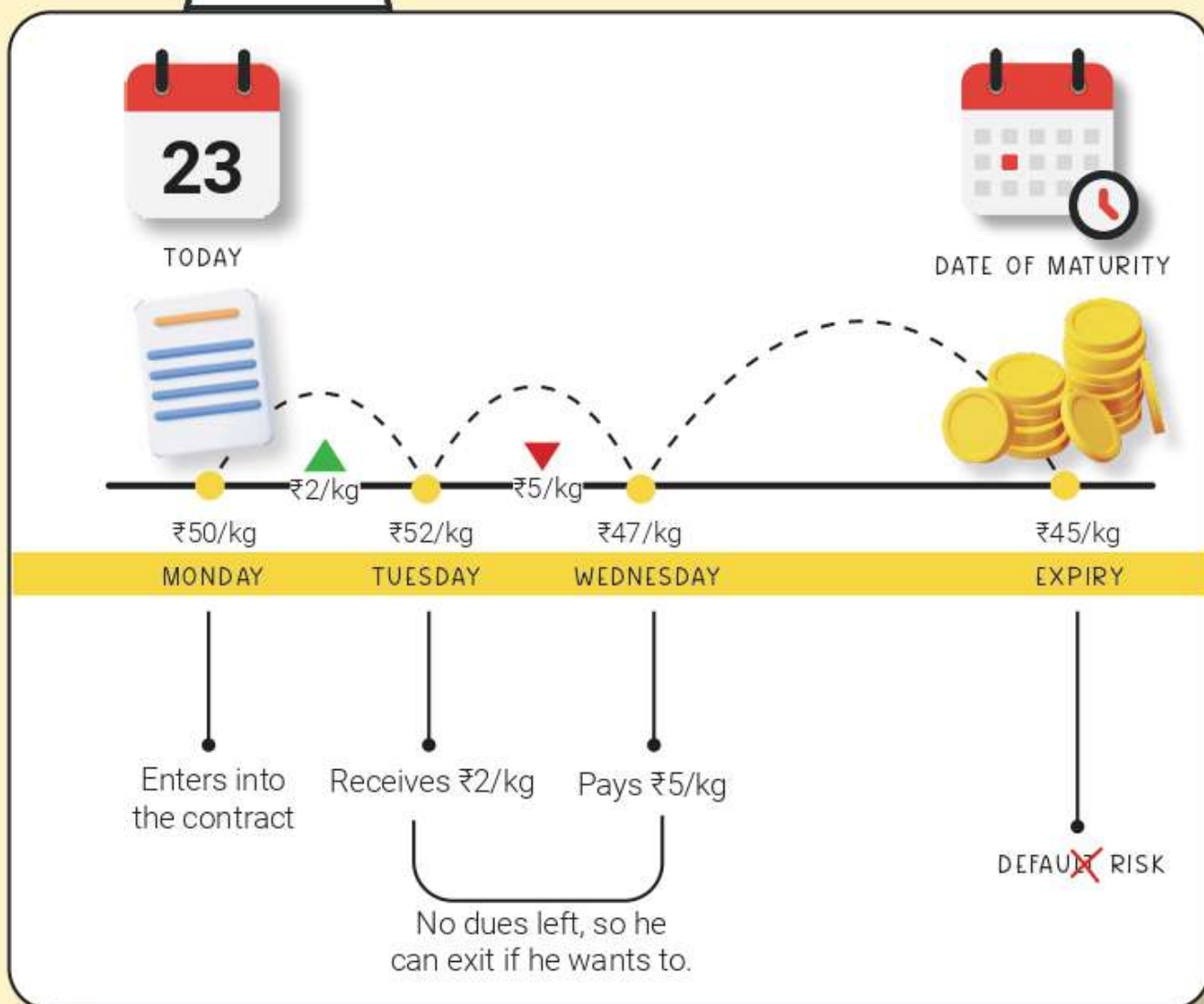




BUYER'S PERSPECTIVE



Say **the price of the underlying asset (say Wheat) rises by ₹2** - the buyer will get this ₹2/kg from the seller.

Now, **the next day the price falls by ₹5** - the buyer will pay this ₹5/kg to the seller. A margin amount is maintained with the broker where profits are added and losses are deducted from. In case margin falls below a certain amount, the broker will require you to re-finance it else they will square off your position.